

BOARD RESOLUTION — MANAGING AGENT ROLE AND AUTHORITY ASSOCIATION OF APARTMENT OWNERS OF NA HALE O MAKENA

Adopted by vote of the Board of Directors at a duly noticed meeting held on July 23, 2026, at which a quorum was present. This resolution is recorded in the minutes of that meeting.

WHEREAS, the Board may act in all instances on behalf of the Association, and owes the Association a fiduciary duty (HRS §514B-106(a); Bylaws §4.1, §6.1);

WHEREAS, the Board “shall at all times manage and operate the Project” and may do all acts and things not required to be done by the owners (Bylaws §6.1);

WHEREAS, the Board is authorized to appoint and to discharge the managing agent and to delegate to it only such powers as the Board determines (HRS §514B-104(a)(3); Bylaws §6.1(m), §6.2);

WHEREAS, a managing agent is a fiduciary with respect to the property it manages (HRS §514B-132(c)), and the Management Agreement provides that DMI serves “under the supervision, direction, and approval of the Board” (Management Agreement §1, §2);

WHEREAS, the Bylaws provide that the managing agent is “subject at all times to direction by the Board,” and that the Board “may in its discretion limit any of the powers... granted to the managing agent” (Bylaws §6.2);

WHEREAS, the Resident Manager and all on-site staff are employees of the Association, and the right to hire and terminate such employees is at the discretion of the Board (Management Agreement §5(a); Bylaws §6.1(n), §6.2);

WHEREAS, the Board wishes to confirm the managing agent’s role and the Association’s chain of command to avoid any ambiguity;

NOW, THEREFORE, BE IT:

1. RESOLVED, that the managing agent (DMI) serves the Association in an advisory and administrative capacity only, and that the Board of Directors is the supervisory authority over the operations and affairs of the Association. (HRS §514B-106(a), §514B-132(c); Bylaws §6.1, §6.2)
2. RESOLVED, that under the Board’s authority to manage the delegation of DMI’s oversight role over Resident Manager functions, to the extent DMI, as managing agent, has at any time held, been delegated, or assumed any line or supervisory authority — or any responsibility for such authority — over the Resident Manager or any other Association employee, that authority and responsibility are hereby withdrawn, effective immediately, and reserved exclusively to the Board, and the Resident Manager reports to and is supervised by the Board. The purpose of this resolution is to clarify DMI’s role consistent with the management practices of the Association; it has no effect on any other role, duty, or responsibility of DMI — or on DMI’s compensation — under the existing Management Agreement, all of which remain unchanged. (Bylaws §6.1(n), §6.2; HRS §514B-106(a))
3. RESOLVED, that all books, records, documents, and data that DMI prepares, receives, or maintains in connection with the Association — including without limitation accounting and financial records, owner and membership records, contracts, correspondence, Association-related email, and audio or video recordings of Association and Board meetings (hereinafter referred to as the “ASSOCIATION RECORDS”) — are the

Board Resolution — Managing Agent Role and Authority (v2026-07-16F)

property of the Association; that DMI holds the ASSOCIATION RECORDS only as the Association's fiduciary and agent and exercises no ownership or control over their disposition; that DMI may retain a copy of the ASSOCIATION RECORDS for its own work-product, audit, or regulatory purposes; and that DMI shall deliver or release the ASSOCIATION RECORDS (and any copies requested) to any member of the Board or the President promptly upon request; provided that the ASSOCIATION RECORDS do not include, and the Association claims no right in, DMI's software, systems, processes, report formats, or other intellectual property, or the means and methods by which DMI provides its services, all of which remain the property of DMI and as to which the Association makes no claim; and provided further that, should DMI contend that any of the ASSOCIATION RECORDS is the property of DMI rather than the Association, DMI shall, within a reasonable time after such contention arises (whether or not within the period stated in paragraph 5), (i) specifically identify each such item and the property right it claims, and (ii) provide a clear, authoritative, and legal basis for that position. (HRS §514B-152, §514B-153(g), §514B-154, §514B-132(c); Bylaws §6.2, second paragraph, items (j)–(k))

4. RESOLVED, that if DMI is ever asked or directed to act in a manner it believes is illegal, unethical, or imprudent, or that exposes DMI to excessive financial risk, DMI's recourse is to raise the concern with the Board and, if unresolved, to give notice of termination under the Management Agreement — and not to override or act contrary to the President or the Board. (Management Agreement §8)

5. RESOLVED, that the President is directed to transmit a copy of this resolution to the managing agent, and to invite the managing agent to state in writing, within sixty (60) days, any objection that a provision of this resolution is unlawful, conflicts with the Management Agreement, or would impair DMI's ability to provide services to the Association, specifying as to each such provision (i) the provision and the duty, responsibility, or term DMI believes is affected, (ii) the legal or contractual authority on which DMI relies, and (iii) any resulting effect DMI foresees; and the Board will review and consider any such objection before taking any further action it deems appropriate.

6. RESOLVED, that this resolution shall be included in the records of the Association and in the minutes of the meeting at which it was adopted.

7. RESOLVED, that nothing in this resolution is intended to amend the Management Agreement, and that in adopting it the Board exercises only such authority as is reserved to it by law, the governing documents, and the Management Agreement.

ADOPTION

This resolution was adopted by vote of the Board of Directors at a duly noticed meeting held on July 23, 2026, at which a quorum was present, and is recorded in the minutes of that meeting.